

“The virtual RIA model is like a robo-advisory platform where set guidelines dictate investment outcomes. It’s a pseudo-layer between pure DIY investing and a human approach, with a virtual assistant to help investors,” says Mohit Gang, CEO and Co-founder of Moneyfront, a Mumbai-based investment platform. “In a market like India, where the number of clients could be in lakhs or millions and product outcomes could vary

WAY FORWARD

When new players enter a field, it’s common to allow the market to grow before introducing regulations. However, regulations were established first for RIAs, creating many restrictions. “It’s like being asked to play football on a basketball court; it doesn’t work,” says Navlakhi. Nonetheless, things are changing now. “Sebi is now more of a facilitator, rather than a strict enforcer. They are engaging with

sense for high-value clients. For instance, a client with ₹10 crore might be willing to pay a higher fee for personalised service, but the current regulations don’t allow this flexibility,” explains Navlakhi.

Moreover, RIAs are prohibited from collecting fees in advance for more than six months, even for annual contracts. Fee collection, according to Navlakhi, needs to be simpler to address this pain point.

Sebi introduced strict fee regulations to curb abuses by stock tip providers. Experts suggest that moving RIAs into a different regulatory category could simplify the rules for genuine advisors. Data on complaints and enforcement actions against RIAs reveals that most issues arise from trading call providers (*see chart ‘Plaint facts’*).

These entities specialise in issuing “buy” and “sell” calls, particularly in the high-risk futures and options segment.

Unless the regulator addresses these challenges, RIAs will continue to have limited presence. Perhaps this is why Hegde chose to concentrate primarily on the education sector, where he believes revenue could increase by 100% by FY25.

In fact, “it has the potential of a ₹500 crore business, but growing the RIA business to ₹500 crore is next to impossible. Imagine needing 1,000-2,000 financial planners. We don’t have that many in the country. Managing 2,000 employees and ensuring quality is very difficult, so clearly, there’s a scalability problem,” Hegde had told BT before Sebi’s paper was released.

Hopefully, the proposed guidelines will bridge the gap and encourage more advisors to join the profession. **BT**

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“The number of actually practicing RIAs is less than 300. I know this as I work with a SaaS firm that provides software to RIAs”

Sharan Hegde
FINFLUENCER;
FOUNDER & CEO, 1% CLUB



“In a nascent market like India, there is resistance to paying a fee separately for something untangible like advice”

Sapna Narang
MANAGING PARTNER,
CAPITAL LEAGUE

greatly, a virtual approach might just be an approximation and yield proper outcomes,” he adds.

So, will other finfluencers jump on the bandwagon and pursue an RIA licence? Doubtful! “I do not want to be in Sebi purview. There are so many dos and don’ts, and it makes the business complicated for us. I do not want to be an MFD or an RIA; I just want to be an educator,” says a leading finfluencer on the condition of anonymity.

us frequently and listening to the realities on the ground,” he adds.

But there is no denying that highly qualified advisors should handle complex products, and clients should have specific knowledge of the products.

Moreover, experts say further flexibility is needed in fee collection. “Customers want different fee models, like hourly or profit-sharing. Moreover, the fixed fee cap of ₹1,25,000 doesn’t make